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Case Name: *Satoshi Kobayashi v. Dfinity USA Research LLC et. al*

Case No.: 23CV415981

Plaintiff Satoshi Kobayashi (“Kobayashi”) filed this action against Defendants Dfinity USA Research LLC (“Dfinity”) and Dominic Williams (“Williams”) (together, “Defendants”) based on Williams’s alleged tortious interference with Kobayashi’s rights concerning his investment in a blockchain project known as the Internet Computer Protocol (“ICP” or “ICP Network”). Kobayashi now moves to stay proceedings pending the outcome of Kobayashi’s appeal of the court’s October 3, 2024 order granting Williams’s motion to quash for lack of personal jurisdiction. (See Notice of Entry of Order Granting Specially Appearing Defendant Dominic William’s Motion to Quash (“Motion to Quash Order”), signed Oct. 3, 2024.) Also before the court are several pending motions to seal.

I. BACKGROUND

According to the allegations of the complaint, Williams promoted the ICP from 2016 until its launch on May 10, 3 2021, and he solicited investments globally. (Complaint, ¶ 2.) Williams served not as only the principal promoter of ICP, but also (1) the CEO of Dfinity, the Palo Alto-based company principally responsible for the operations of ICP and (2) the “Chief Scientist” of the Dfinity Foundation (the “Foundation”), a Swiss nonprofit entity with substantial operations in Palo Alto that has certain administrative responsibilities related to ICP. (*Ibid.*) In 2017, Kobayashi invested 15,000 Ethereum tokens (currently worth over \$25 million) in ICP. (*Id.* at ¶ 3.) Under the terms of his investment, he was entitled to: (1) his pro rata share of ICP tokens (“Tokens”) to be allocated under a formula that would see early investors receive 78% of the total available Tokens when ICP launched; (2) governance of ICP by a decentralized voting process; and (3) receipt of Tokens that would be freely tradeable upon ICP launch, which turned out to be May 21, 2021. (*Ibid.*)

Williams’s assurances that ICP would not be a “pump-and-dump” scam were empty. (Complaint, ¶¶ 4-5.) Williams and Dfinity tortiously interfered with the rights of ICP seed investors generally and later they targeted Kobayashi specifically. (*Id.* at ¶ 5.) Namely, they induced the Foundation to allocate only 24.7% of Tokens to early investors, ICP was wholly controlled by Williams, Tokens were not freely tradeable at the ICP Network launch, Defendants caused the Foundation to remove or circumvent vesting restrictions on Williams and other insiders, and Kobayashi did not receive his pro rata share of Tokens. (*Ibid.*) The Tokens traded for hundreds of dollars each at the Network launch but lost approximately 95% of their value within two months and they currently trade at approximately \$6 per token. (*Id.* at ¶ 6.) This occurred as a result of Defendants’ conduct and Williams’s domineering control of what is supposed to be a decentralized network. (*Id.* at ¶ 7.) In an attempt to avoid an investor lawsuit, Williams moved to Switzerland. (*Id.* at ¶ 9.)

On May 8, 2023, Kobayashi filed the complaint, alleging the following causes of action: (1) tortious interference with contract; (2) tortious interference with prospective economic advantage; (3) breach of fiduciary duty; (4) conversion; (5) trespass to chattels; and (6) unfair competition. On October 3, 2024, the court signed the Motion to Quash Order, granting Williams’s motion to quash service of summons. On December 6, 2024, Kobayashi filed a motion to stay proceedings pending appeal of the Motion to Quash Order. Also before the court are three separate motions to seal, one filed in connection with the present motion to stay and two filed in response to unrelated motions.

II. Motions to Seal

a. General Legal Standards

“The court may order that a record be filed under seal only if it expressly finds facts that establish: (1) [t]here exists an overriding interest that overcomes the right of public access to the record; (2) [t]he overriding interest supports sealing the record; (3) [a] substantial

probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) [t]he proposed sealing is narrowly tailored; and (5) [n]o less restrictive means exist to achieve the overriding interest.” (Cal. Rules of Court, rule 2.550(d).) Pleadings should be open to public inspection “as a general rule,” although they may be filed under seal in appropriate circumstances. (*Mercury Interactive Corp. v. Klein* (2007) 158 Cal.App.4th 60, 104, fn. 35.)

“Courts have found that, under appropriate circumstances, various statutory privileges, trade secrets, and privacy interests, when properly asserted and not waived, may constitute overriding interests.” (*In re Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 298, fn. 3 (*Providian*).) “[A] binding contractual agreement not to disclose” may suffice. (*Huffy Corp. v. Superior Court* (2003) 112 Cal.App.4th 97, 107.) In addition, confidential matters relating to the business operations of a party may be sealed where public revelation of the information would interfere with the party’s ability to effectively compete in the marketplace. (See *Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1285-1286 (*Universal*).)

Where some material within a document warrants sealing but other material does not, the document should be edited or redacted, if possible, to accommodate both the moving party’s overriding interest and the strong presumption in favor of public access. (Cal. Rules of Court, rule 2.550(d)(4), (5).) In such a case, the moving party should take a line-by-line approach to the information in the document, rather than framing the issue to the court on an all-or-nothing basis. (*Providian, supra*, 96 Cal.App.4th at p. 309.)

b. Discussion

i. Dfinity’s Motion to Seal Plaintiff’s Exhibits Lodged in Support of a Stay

Dfinity moves to seal three exhibits in their entirety, and portions of other exhibits, filed in support of Kobayashi's motion to stay.² (Notice of Motion to Seal Exhibits filed in Support of Stay, pp. 1:8-10:7.) Kobayashi does not appear to oppose Dfinity's motion to seal.

Dfinity explains that the material at issue contains personally identifying and sensitive information, confidential commercially sensitive business information, and confidential information irrelevant to the case. (See Memorandum of Points and Authorities in Support of Dfinity's Motion to Seal Plaintiff's Exhibits Lodged in Support of Motion to Stay ("Dfinity Sealing MPA"), pp. 4:12-5:14; Declaration of Aaron T. Goodman in Support of Dfinity's Motion to Seal Plaintiff's Exhibits Lodged in Support of Motion to Stay, ¶ 3.) According to Dfinity, it "moves to seal portions of Exhibits 1, 2, 3, 5 and 8" to a declaration filed in support of Kobayashi's motion to stay "to the extent they contain private Personal Identifying and Sensitive Information, including confidential wallet addresses, information concerning non-party financial transactions, and other private information that has nothing to do with this case." (Dfinity Sealing MPA, p. 4:13-18.) Dfinity moves to seal portions of "Exhibits 2, 3, 4, 5, 6, and 7, to the extent they contain non-public, commercially sensitive business information. This includes discovery responses (Ex. 2, 3 and 5), internal communications (Ex. 6 and 7), and a confidential agreement between DFINITY USA and the Swiss DFINITY Foundation (Ex. 4)." (*Id.* at pp. 4:19-5:6.)

The court declines to seal any exhibit in its entirety but otherwise finds that the proposed sealing appears to be narrowly tailored to confidential information, and the court finds that Dfinity has established an overriding interest that justifies sealing the materials and that the other factors set forth in rule 2.550 are satisfied. (See Cal. Rules of Court, rule 2.550(d).)

² Dfinity refers to Kobayashi's "motion to seal" throughout the notice and memorandum of points and authorities Dfinity filed in support its motion to seal. Given that Kobayashi did not file a motion to seal on December 6, 2024, but rather the present motion to stay, the court assumes Dfinity intended to refer to Kobayashi's motion to stay.

Accordingly, the court GRANTS Dfinity's motion to seal exhibits lodged by Kobayashi in support of his motion to stay.

ii. Williams's Motion to Seal

On July 18, 2024, Williams filed a motion to seal three exhibits Kobayashi filed in connection with Kobayashi's opposition to William's motion to quash service of summons for lack of personal jurisdiction. (See Specially-Appearing Defendant Dominic Williams's Notice of Motion and Motion to Seal Confidential Documents, p. 1:6-12.) Kobayashi does not appear to have opposed Williams's motion.

Williams explains that the material at issue contains confidential settlement information, personally identifying and sensitive information, and confidential commercially sensitive business information. (See Memorandum of Points and Authorities in Support of Specially-Appearing Williams's Motion to Seal, pp. 2:1-3:28; Declaration of Aaton T. Goodman in Support of Specially-Appearing Defendant Dominic Williams's Motion to Seal Confidential Documents, ¶¶ 2-10.) The proposed sealing appears to be narrowly tailored to confidential and personally identifying information, and the court finds that Williams has established an overriding interest that justifies sealing the materials and that the other factors set forth in rule 2.550 are satisfied. (See Cal. Rules of Court, rule 2.550(d).)

Accordingly, the court GRANTS Williams's motion to seal documents filed in connection with Kobayashi's opposition to Williams's motion to quash.

iii. Kobayashi's Motion to Seal

On August 9, 2024, Kobayashi filed a motion to seal portions of one exhibit Dfinity filed in connection with Dfinity's reply in support of its demurrer. (See Kobayashi's Notice of

Unopposed Motion and Unopposed Motion to Seal, p. 1:2-9.) Dfinity does not appear to have opposed Kobayashi's motion.

Kobayashi explains that the material at issue contains personally identifying and sensitive information. (See Kobayashi's Memorandum of Points and Authorities in Support of Unopposed Motion to Seal, pp. 2:11-3:19; Declaration of Gregory N. Wolfe in Support of Kobayashi's Unopposed Motion to Seal, ¶ 6.) The proposed sealing appears to be narrowly tailored to confidential and personally identifying information, and the court finds that Kobayashi has established an overriding interest that justifies sealing the materials and that the other factors set forth in rule 2.550 are satisfied. (See Cal. Rules of Court, rule 2.550(d).)

Accordingly, the court GRANTS Kobayashi's motion to seal portions of an exhibit filed in support of Dfinity's reply in support its demurrer to Kobayashi's complaint.

III. Motion to Stay

a. General Legal Standards

Courts have “fundamental inherent equity, supervisory, and administrative powers, as well as inherent power to control litigation before them. [Citation.]” (*Rutherford v. Owens Illinois, Inc.* (1997) 16 Cal.4th 953, 967.) That power extends to adopting any suitable method of practice in pending litigation, as long as those methods do not conflict with any statute or other law. (*Ibid.*) Trial courts may stay proceedings for a variety of reasons, including based on the court's inherent authority. (*Frieberg v. City of Mission Viejo* (1995) 33 Cal.App.4th 1484, 1489 [“Trial courts generally have the inherent power to stay proceedings in the interest of justice and to promote judicial efficiency. [Citations.]”].) “[T]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.” (*Landis v. N. Am. Co.* (1936) 299 U.S. 248, 254 (*Landis*).)

b. Discussion

Kobayashi seeks a stay of all proceedings, including discovery, pending his appeal of the Motion to Quash Order. (Notice of Motion to Stay Proceedings, p. 1.) Kobayashi argues that while this appeal “is pending and if the case is not stayed, the parties will undoubtedly engage in extensive discovery motion practice and may file dispositive motions and even go to trial. The allegations against Dfinity USA and Williams are similar. In the event the Court of Appeal reverses the [Motion to Quash Order], the case will be remanded and Kobayashi will be forced to litigate many of the same issues all over again against Williams.” (Memorandum of Points and Authorities in Support of Motion to Stay Proceedings (“MPA”), p. 9:12-16.) Kobayashi further argues that “Dfinity will not be prejudiced by a stay” and his appeal “raises at the very least substantial questions going to the merits, as reflected by the fact that the Court’s tentative ruling was in Kobayashi’s favor.” (See *id.* at pp. 10:4-15:25.)

Dfinity contends that “California has a strong presumption against the issuance of a stay” and the cases Kobayashi relies on are inapposite. (See Dfinity’s Opposition to Motion to Stay Proceedings (“Opposition”), pp. 10:4-11:10.) Dfinity further contends that under Code of Civil Procedure section 916 an appeal does not stay ancillary or collateral matters. (See *id.* at p. 11:13-25.) According to Dfinity, Kobayashi’s appeal involves a collateral order or judgment, and therefore the court should not stay the entire action. (See *id.* at pp. 11:26-12:6.) Dfinity also contends that “Plaintiff acknowledges by omission that CCP section 916 does not provide a basis to stay his claims against [Dfinity]. Rather, Plaintiff requests a multi-year discretionary stay under the Court’s inherent authority. [Citation.] When considering a discretionary stay pending the appeal of an issue collateral to the remaining claims, California courts turn to the test laid out by the Supreme Court in *Landis*. . . . All of [the *Landis*] factors weigh against Plaintiff’s requested stay.” (See *id.* at pp. 12:7-16:12, internal citations and quotation marks omitted.)

First, the court agrees with Dfinity that Kobayashi appears to base his request for a stay under the court’s inherent discretionary power to stay proceedings, rather than under Civil Code of Procedure section 916. Code of Civil Procedure section 916, subdivision (a) provides, in relevant part, that “the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order, but the trial court may proceed upon any other matter embraced in the action and not affected by the judgment or order.” (Code Civ. Proc., § 916, subd. (a).) Kobayashi makes no mention of Code of Civil procedure section 916 in the MPA. Moreover, Kobayashi argues that trial courts “have the power to issue *discretionary* stays pending appeal.” (See MPA, p. 9:3, internal quotation marks omitted, emphasis added; see also *id.* at p. 1:5 [“All of the discretionary factors counsel in favor of stay.”].) Code of Civil Procedure section 916 requires an *automatic* stay of proceedings.³

The court also agrees with Dfinity that *People ex re. San Francisco Bay Conservation & Development Com. v. Emeryville* (1968) 69 Cal.2d 533 (*Emeryville*) and *Daly v. San Bernardino County Board of Supervisors* (2021) 11 Cal.5th 1030 (*Daly*) are distinguishable in that they both involved injunctive relief. (See Opposition, pp. 10:19-11:10.) In *Emeryville*, the California Attorney General brought suit to enjoin certain landfill operations by the defendant on the ground that defendant had not obtained the requisite permit. (See *Emeryville, supra*, 69 Cal.2d 533 at p. 536.) In view of the “urgency of the litigation,” the California Supreme Court “ordered the cause transferred to this court. [Citation.] At that time [the Supreme Court]

³ The court notes that even if Kobayashi had argued for an automatic stay under Code of Civil Procedure section 916, the court would have found Kobayashi’s argument unpersuasive given that the automatic stay does not suspend trial court proceedings on “remaining components of the litigation,” including “claims against other parties.” (See *Hedwall v. PCMV, LLC* (2018) 22 Cal.App.5th 564, 580, fn. 11 [“Under subdivision (a) of section 916, with certain exceptions, the perfecting of an appeal [automatically] stays proceedings in the trial court . . . [h]owever, the automatic stay does not suspend trial court proceedings on the remaining components of the litigation, for example, claims against other parties—such as Arcis and PCMV—not resolved by the judgment or order under appeal.”], internal citations and quotation marks omitted.) Here, the Motion to Quash Order concerned the court’s jurisdiction over only one defendant, Williams, and not Dfinity.

issued an order enjoining all fill operations by the [defendant] pending final determination of the appeal.” (*Ibid.*) The Supreme Court disagreed with the defendant that the Supreme Court lacked jurisdiction to stay the case, finding that “where, as here, difficult questions of law are involved and the fruits of a reversal would be irrevocably lost unless the status quo is maintained, justice requires that an appellate court issue a stay order to preserve its own jurisdiction. While this power should be sparingly employed and reserved for the exceptional situation . . .” (*Id.* at p. 537.)

In *Daly*, the California Supreme Court noted that in California, “a long-established set of rules governs stays of injunctive orders—that is, orders to do something or to refrain from doing something. What rule applies depends on which kind of order it is.” (*Daly, supra*, 11 Cal.5th at p. 1035.) The Supreme Court considered “how these rules apply to an order requiring a local legislative body, the San Bernardino County Board of Supervisors, to remove and replace one of its members,” concluding that “[t]he superior court's order to remove and replace [a county] board member was a mandatory injunction—a command that the board take affirmative action to remedy the violation found by the trial court. As such, under long-established precedent, the order should be stayed until the appellate court has determined whether the trial court was correct.” (*Ibid.*)

On reply, Kobayashi argues that the court should nevertheless consider the “substantial questions” inquiry used by the Court of Appeal in *Emeryville*, contending that “[a]s the Court is no doubt aware, it may consider in its stay inquiry whether the appeal raises substantial questions going to the merits.” (Plaintiff’s Reply Memorandum of Points and Authorities in Support of Motion to Stay Proceedings (“Reply”), p. 7:14-15.) In support of this argument, Kobayashi cites two cases purportedly not involving injunctive relief. (See Reply, p. 7:14-23, citing *Molybdenum Corp. of America v. Wright* (1956) 143 Cal.App.2d 288 (*Molybdenum*), *Veyna v. Orange County Nursery, Inc.* (2009) 170 Cal.App.4th 146 (*Veyna*).) The court notes that all four of the opinions cited by Kobayashi—*Molybdenum*, *Veyna*, *Emeryville*, and *Daly*—involved writs of supersedeas and a standard applied by the Court of Appeal to evaluate the

request.⁴ (See *Daly, supra*, 11 Cal.5th at p. 1035; *Emeryville, supra*, 69 Cal.2d at pp. 536-537; *Molybdenum, supra*, 143 Cal.App.2d at p. 288; *Veyna, supra*, 170 Cal.App.4th at p. 150.)

“Supersedeas is an extraordinary writ issued by an *appellate court* to a lower court or officer thereof, directing that enforcement of a judgment be stayed *pending an appeal* in the court issuing the writ, where the relief is necessary to protect the *appellant* from serious injury in case of reversal, and will not cause the respondent disproportionate injury in case of *affirmance*.” (*California Table Grape Com. v. Disputo* (1971) 14 Cal.App.3d 314, 316, emphasis original.) “The writ of supersedeas is an aid to the appellate jurisdiction of an appellate court; its purpose is to stay proceedings on the judgment or order from which an appeal is taken. [Citation.]” (*In re Christy L.* (1986) 187 Cal.App.3d 753, 758-759.)

Kobayashi does not seek to stay a court judgment or order. Kobayashi seeks a “stay of all proceedings in this case, including discovery.” (MPA, p. 1:1-2.) The court therefore does not find the “substantial questions” inquiry, used in a very specific procedural context by the Courts of Appeal in *Emeryville* and *Veyna*, applicable here. (See California Rules of Court, rule 8.112, subd. (a)(1) [“A party seeking a stay of the enforcement of a judgment or order pending appeal may serve and file a petition for writ of supersedeas in the reviewing court.”]; *Veyna, supra*, 170 Cal.App.4th at pp. 150, 157 [“Three days later it filed the instant petition for writ of supersedeas in which it asks this court to stay the trial court decree pending resolution of the appeal. . . . An application for a stay of a *judgment* should, wherever possible, be made first in the superior court.”], emphasis added; *Emeryville, supra*, 69 Cal.2d at p. 537 [“A trial court's familiarity with the evolving circumstances of a case normally constitutes it the

⁴ “[T]he issuance of a writ of supersedeas is a matter of discretion to be exercised by the court whenever it appears necessary and proper to preserve appellate jurisdiction. . . . Being discretionary, the writ will not be granted to maintain a status quo of the litigation unless the appeal presents substantial questions for decision, and unless there is a probability that error has been committed. The burden is upon petitioner herein to establish the necessity of the writ, as well as to show wherein the trial court abused its discretion in its denial of his motion for a stay.” (*Donen v. Donen* (1964) 228 Cal.App.2d 441, 448, internal quotations and citations omitted.)

appropriate forum to weigh the relative hardships on the parties, including the likelihood that substantial questions will be raised on appeal, and its refusal to grant or to continue an injunction during appeal is entitled to great weight.”].)

Nor, however, is the court convinced by Dfinity’s use of *Landis*. (See Opposition, pp. 12:11-13:6.) The court agrees with Kobayashi’s argument that “it is *California* law that controls . . . [the case cited by Dfinity] merely cited *Landis* for the basic proposition that courts have the inherent authority ‘to control the disposition’ and should ‘weigh competing interests’ in do so. [Citation.]” (Reply, pp. 7:24-8:3, emphasis original.) Outside of a single California state court case that only adopts the “basic proposition” noted by Kobayashi, Dfinity cites a series of cases in federal court that seemingly applied the factors in *Landis*, but no authoritative California cases doing the same. (See Opposition, pp. 12:7-16:12; *Briggs v. Brown* (2017) 3 Cal.5th 808, 852.) The court therefore also declines to apply the factors outlined in *Landis*.

The court turns to the parties’ remaining arguments. Kobayashi argues that “[e]fficiency and common-sense counsel in favor of a stay. Currently, the average civil appeal in the Sixth Appellate District takes 1169 days. While the Appeal is pending and if the case is not stayed, the parties will undoubtedly engage in extensive discovery motion practice and may file dispositive motions and even go to trial. The allegations against Dfinity USA and Williams are similar. In the event the Court of Appeal reverses the [personal jurisdiction order], the case will be remanded and Kobayashi will be forced to litigate many of the same issues all over against Williams.” (MPA, p. 9:11-16, footnote omitted.) Kobayashi further argues that burdensome “discovery fights can also be avoided through a stay. . . . If the case proceeds in its current posture, Kobayashi may well have to seek discovery from Williams twice—first in his capacity as non-party while the appeal is pending and then in his capacity as a party if the [personal jurisdiction order] is reversed. Williams will undoubtedly resist giving testimony in this case now that he is a non-party . . .” (*Id.* at pp. 9:20-10:1.) Finally, Kobayashi argues that Dfinity “will not be prejudiced by a stay; in fact, it will benefit from one

by avoiding the duplicative litigation described above. . . . A stay will also spare Dfinity USA from expenses during the pendency of Kobayashi’s appeal . . . ” (*Id.* at p. 10:6-14.)

Dfinity responds that a stay of proceedings will cause “obvious harm and prejudice to [Dfinity] if it is denied the opportunity to defend itself in this action, not by months, but by years,” arguing that waiting for the result of the appeal “would increase the danger of prejudice resulting from the loss of evidence, including the inability of witnesses to recall specific facts.” (Opposition, p. 13:14-18, citing *Avant! Corp. v. Sup. Ct* (2000) 79 Cal.App.4th 887.) Dfinity further argues that Kobayashi “does not identify any hardship, undue burden or inequity that will result if his motion to stay is not granted . . . [a]t most, he argues without submission of any accompanying evidence or supporting legal authority, that a stay pending his collateral appeal would avoid relitigating issues, duplicative discovery and motion practice, and the potential for separate trials. But discovery is not restricted to the parties of a case . . . this amounts to nothing more than the normal burdens of litigation that would occur regardless of the outcome on appeal.” (*Id.* at p. 14:11-22, internal citations and quotation marks omitted.)

On reply, Kobayashi contends that Williams’s testimony and any documents in his possession will be “among the most important evidence in this case. But so long as Williams remains absent and abroad, Plaintiff may be unable to secure *any* evidence from him.” (Reply, p. 1:23-25, emphasis original.) Kobayashi further contends that it “is undisputed that Williams’s presence would streamline proceedings by simplifying or mooted the parties’ discovery disputes. It is also undisputed that, if a stay does not issue, there will likely be two rounds of litigation—each with its own dispositive motion practice, discovery, and trial—if Plaintiff secures a reversal.” (*Id.* at p. 2:5-8.) Kobayashi also contends that Dfinity has failed to demonstrate that “prejudice supports a stay. The lone prejudice Dfinity USA identifies is the prospect that evidence may be lost and memories may fade during the pendency of Plaintiff’s appeal.” (*Id.* at p. 2:26-28.) Ultimately, according to Kobayashi, “both sides agree that the Court should consider the *balance* of the hardships in deciding whether to give a stay. [Citation.] Any prejudice resulting from a stay will be suffered disproportionately by Plaintiff

and thus does not militate against a stay that *Plaintiff* has requested.” (*Id.* at p. 10:18-21, emphasis original.)

The court is not convinced that a stay is appropriate at this time. Kobayashi seems to suggest that staying this action pending appeal could result in a stay of roughly *three* years. (See MPA, p. 9:11-12 [“Efficiency and common-sense counsel in favor of a stay. Currently, the average civil appeal in the Sixth Appellate District takes 1169 days.”].) The court does not find Kobayashi’s arguments in favor of a stay persuasive, especially given this timeframe. Many of Kobayashi’s arguments regarding the potential difficulties Kobayashi may encounter with discovery are speculative—according to Kobayashi, in the event the Court of Appeal reverses this court’s personal jurisdiction order, continuing trial proceedings without a stay could risk duplication and burdensome discovery fights because Kobayashi may have to seek discovery from Williams both as a party and nonparty to the litigation, Kobayashi may be unable to secure evidence from Williams, and the parties will likely litigate two rounds of litigation. (See MPA, pp. 9:11-10:1; Reply, pp. 1:23-25, 2:5-8)

Kobayashi, however, may still request discovery from Williams as a nonparty to the action. (See *Board of Registered Nursing v. Superior Court* (2021) 59 Cal.App.5th 1011, 1030 [“In California, discovery may be obtained from a nonparty through an oral deposition, a written deposition, or a deposition for the production of business records and things. (Code Civ. Proc., § 2020.010, subd. (a).)”].) As to Kobayashi’s argument that Kobayashi may encounter difficulty in obtaining evidence from Williams because Williams is “absent and abroad,” the court notes that “[i]nternational discovery activities under California law may be conducted only within the channels and procedures established by the host nation. . . . Whatever the generous provisions of the California discovery statutes, courts ordering discovery abroad must conform to the channels and procedures established by the host nation. The limitation may rest on any one of several theories -- comity, curtailed discretion or implied statutory qualification.” (*Volkswagenwerk Aktiengesellschaft v. Superior Court* (1973) 33 Cal.App.3d 503, 508.) In other words, Kobayashi may experience similar difficulties,

regarding the international component of the litigation, in obtaining evidence from Williams, whether as a nonparty or a party to the action. Furthermore, the court agrees that a potential three-year stay, as noted by Kobayashi, is a delay with the potential to cause prejudice to defendant. (See *Avant! Corp. v. Superior Court* (2000) 79 Cal.App.4th 876, 887; see also *Alpha Media Resort Investment Cases* (2019) 39 Cal.App.5th 1121, 1132 [“[C]onvenience of the courts is best served when motions to stay proceedings are discouraged. Indeed, California courts are guided by the strong principle that any elapsed time other than that reasonably required for pleadings and discovery is unacceptable and should be eliminated.”], internal citations and quotation marks omitted.)

The court DENIES Kobayashi’s motion to stay.

IV. Conclusion

The court GRANTS Kobayashi’s motion to seal portions of an exhibit filed in support of Dfinity’s reply in support its demurrer to Kobayashi’s complaint. The court GRANTS Dfinity’s motion to seal exhibits lodged by Kobayashi in support of his motion to stay. The court GRANTS Williams’s motion to seal documents filed in connection with Kobayashi’s opposition to Williams’s motion to quash.

The court DENIES Kobayashi’s motion to stay.

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